



United States
Attorney's Office
Central District of Illinois



Eureka Chiropractor Sentenced to 20 Months in Prison and Ordered to Repay More than \$2.3 Million for Defrauding Medicare

Wednesday, June 25, 2025

For Immediate Release

U.S. Attorney's Office, Central District of Illinois

PEORIA, Ill. – Carrie Musselman, 48, of Eureka, Illinois, was sentenced on June 24, 2025, to 20 months in prison and ordered to pay more than \$2.3 million dollars in restitution following her convictions on multiple charges related to her scheme to defraud Medicare and twelve other insurance companies. A jury found Musselman guilty of one count of healthcare fraud and five counts of wire fraud after a 13-day trial in February 2025.

At the sentencing hearing before Senior U.S. District Judge Michael M. Mihm, the government presented evidence that Musselman, a chiropractor in Eureka, engaged in a multi-year fraud to steal more than \$2.5 million from Medicare and other insurance companies. As part of the scheme, Musselman submitted fraudulent insurance claims which indicated that services had been performed by medical doctors when they were actually performed by mid-level providers. That resulted in automatic pay increases for Musselman to which she was not entitled.

Musselman also made claims that falsely asserted patients had received services that were never provided. These claims included purportedly providing patients with allergy injections when no such injections were given. Instead, patients were sent home with oral drops that had not been approved by the Food and Drug Administration, were considered "experimental," and had not been proven to be effective.

And Musselman misrepresented services that were provided, again resulting in her receipt of payments to which she was not entitled. One of Musselman's most highly reimbursed services, the placement of an electroacupuncture device, which she falsely billed as a surgically implanted neurostimulator, would not have qualified for any payment but for her deception.

Also at the hearing, Judge Mihm found that Musselman had committed perjury in her testimony. In doing so, the judge noted that Musselman’s statements lacked credibility. He stated that Musselman was well aware of the fraud she was committing and that she had directed and encouraged the fraud.

“This case should serve as a warning to anyone who would commit fraud against health insurance,” said Acting United States Attorney Gregory M. Gilmore. “We will seek out fraud, waste, and abuse and prosecute those who engage in it. Providers who take advantage of the trust placed in them to line their own pockets abandon their ethical responsibilities and raise health insurance costs for vulnerable patients.”

“The submission of false claims undermines the integrity of our federal healthcare system,” said Linda T. Hanley, Special Agent in Charge with the United States Department of Health and Human Services Office of Inspector General. “We remain committed to holding healthcare providers accountable for complying with Medicare regulations so that enrollees can continue to rely on the program and receive the care they deserve.”

“Bad actors in healthcare, such as Dr. Musselman, think they can cover up fraud through clouded paperwork and technical healthcare jargon all while they commit illegal acts such as false claims, fraudulent services, and in this case, services not even rendered,” said Christopher J.S. Johnson, the Special Agent in Charge of the FBI Springfield Field Office. “This sentencing and ordered restitution are a testament to the FBI’s commitment to working these types of cases. It doesn’t matter how clouded the paperwork, or how many files there are to go through, if there is a victim, then there will be an agent investigating it.”

The case investigation was conducted by the Department of Health and Human Services, Office of Inspector General, Office of Investigations, and the Federal Bureau of Investigation, Springfield Field Office. Assistant U.S. Attorneys Douglas F. McMeyer, Bryan D. Freres, and Grace J. Hitzeman represented the government at trial.

Updated June 25, 2025

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